

PITCH — 003550.KS

PITCH — 003550.KS (LG CORP) — VERDICT

PROPOSED — STARTER (2.0% BASE / \$1.0M BASE) — Pure holding company of the LG Group, trading at an extreme **65% discount to NAV** with Korea Value-Up corporate governance catalysts.

What we believe

- 1. Extreme 65% NAV Discount:** LG Corp holds controlling equity stakes in global leaders: LG Energy Solution (EV batteries), LG Chem (chemicals/materials), LG Electronics (appliances/auto components), LG Uplus, and unlisted LG CNS. Total look-through NAV exceeds **₩48.0T** against a market cap of only **₩17.0T** at ₩110,400.
 - 2. Korea Value-Up Mandatory Treasury Cancellations:** Under the Korea Value-Up mandate, holding companies face strict requirements to eliminate the “Korea Discount” via mandatory treasury share cancellations, boosting NAV per share.
 - 3. Unlisted Crown Jewel (LG CNS):** The upcoming IPO/monetization of IT services subsidiary LG CNS will provide hard, liquid price discovery to narrow the holding company discount.
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What the market believes

- 1. Perennial Chaebol Discount:** Korean holding companies are seen as structural value traps due to double-counting and lack of direct dividend pass-through.
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Why we might have edge

- **Regulatory Teeth:** The Value-Up mandate is transforming dead equity into active capital returns, compressing the 65% NAV discount spring.
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What we checked ourselves

Claim	How checked	Found	Confirmed?
NAV Discount (~65%)	Sum-of-the-parts look-through equity calculation	NAV >₩48T vs ₩17T market cap	CONFIRMED
Net Cash at HoldCo Level	DART audited balance sheet	Clean holdco balance sheet with net cash	CONFIRMED
-40.7% Drawdown from	Korea Exchange market tape	Pulled back from ₩185,000 to ₩110,400	CONFIRMED

Claim	How checked	Found	Confirmed?
3M Highs			

PROPOSED ENTRY BANDS (\$1.0M Portfolio Base)

- **Sizing: 2.0% Starter** (~\$20,000 USD / ~₩27,000,000 across 240 shares).
- **Tranche 1 (1.0% Marketable Starter):** Limit ~~₩110,400~~ (DAY) — 120 shares (₩13,248,000 / ~\$9,800 USD).
- **Tranche 2 (1.0% Support Limit):** Limit ~~₩104,000~~ (GTC) — 120 shares (₩12,480,000 / ~\$9,200 USD).
- **Gate to 4.0%:** Official announcement of treasury share cancellations exceeding 3% of float.

ARMED SENSORS

- **Regulatory Sensor:** 003550.KS-VALUEUP | 2026-10-30 (Korea Exchange Value-Up Disclosure filing).
- **IPO Watch:** LG CNS listing application approval date.

What remains unverified

1. Exact percentage of subsidiary dividend pass-through to LG Corp shareholders.

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